

# The Korea Discount: Causes, Persistence, and Policy Responses

A Systematic Literature Review

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## Abstract

South Korean equities have traded at persistent discounts to global peers for at least three decades, a phenomenon widely termed the “Korea Discount.” This paper synthesizes the growing empirical and legal literature on the discount’s measurement, causes, and remedies. We organize the evidence around three competing—and often complementary—explanations: (i) corporate governance failures rooted in the chaebol ownership structure; (ii) structural weakness in corporate growth potential and capital allocation; and (iii) demand-side frictions, including short-termism among domestic investors and asymmetric foreign-investor discipline. We further review recent policy responses, including the 2024 Corporate Value-Up Program and the 2025 Commercial Act amendment, and assess their expected efficacy in light of the empirical record. The literature converges on the view that the discount is deeply structural: no single governance or payout reform is likely to close the gap without simultaneous improvement in long-run profitability and investment quality.

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## 1. Introduction

The Korean stock market has long attracted attention for one of the most persistent valuation anomalies in international finance: listed Korean firms systematically trade below book value and at lower earnings multiples than comparably profitable firms in other economies, even after controlling for standard risk factors. This “Korea Discount” is not a fleeting market inefficiency. 김현석 (2026) document that Korean firms exhibited statistically significant undervaluation across a 48-country panel spanning 1990–2023, and that the discount persisted across all three sub-decades examined. Choi et al. (2012) reach a similar conclusion using cost-of-equity capital comparisons across 31 countries: Korean firms bear a cost of equity significantly above what firm characteristics would predict, though the gap had narrowed somewhat by the early 2010s.

The Korea Discount is consequential beyond academic finance. A chronically undervalued equity market raises the cost of external financing, depresses household wealth, discourages domestic investment, and has become a focal point of economic policy. In 2024, the Korean Financial Services Commission launched a “Corporate Value-Up Program” explicitly modeled on Japan’s *Tokyo Stock Exchange PBR Improvement Initiative*, and the National Assembly subsequently passed a landmark amendment to the Commercial Act in July 2025 to strengthen minority shareholder protections.

Yet the diagnosis remains contested. Attribution of the discount to governance failures, growth weakness, or behavioral frictions has direct implications for what kinds of policy will work. This review systematically examines the empirical literature to assess which explanations have the strongest support and what the evidence implies for the effectiveness of recent reforms.

The remainder of this paper is organized as follows. Section 2 reviews the measurement of the Korea Discount and establishes its magnitude and persistence. Section 3 surveys the three

main causal hypotheses: governance (Section 3.1), growth and capital allocation (Section 3.2), and demand-side frictions (Section 3.3). Section 4 evaluates the policy responses. Section 5 synthesizes the evidence and identifies open questions.

## 2. Measuring the Korea Discount

The Korea Discount is conventionally measured as the gap between the price-to-book ratio (PBR) or price-to-earnings (P/E) ratio of the Korean market (proxied by the KOSPI or KOSPI 200 indices) and that of a relevant peer group—typically developed Asian markets, the MSCI Emerging Markets index, or a cross-country regression-predicted benchmark.

[김현석 \(2026\)](#) provide the most comprehensive long-run evidence to date. Using data for 48 countries over 1990–2023, they confirm that Korean firms’ P/B and P/E ratios consistently ranked among the lowest globally, and that this undervaluation remained statistically significant after controlling for firm size, profitability, and growth, as well as country-level GDP per capita, financial market development, and geopolitical risk. Critically, the discount was not confined to specific business cycles or crisis periods: subsample analyses covering the 1990s, 2000s, and 2010s all yield the same conclusion, establishing that the Korea Discount is a structural, three-decade phenomenon rather than a cyclical aberration.

[Jung et al. \(2022\)](#) provide complementary within-sample evidence. The historical average book-to-market (BTM) ratio of Korean listed companies exceeds one, meaning that the market systematically values Korean firms below their accounting net assets. Using firm-level data from 1995 to 2019, they confirm that high-BTM Korean stocks deliver higher subsequent returns, consistent with mispricing rather than rational risk compensation: the return pattern is asymmetric toward positive extremes, a signature of systematic undervaluation rather than elevated systematic risk.

[Choi et al. \(2012\)](#) approach measurement from the cost of equity capital side. Analyzing analysts’ earnings forecasts to back out implied equity premiums for firms in 32 countries,

they find that Korean companies face a significantly higher cost of equity than comparable foreign peers, consistent with investors demanding a discount for Korea-specific risks. This framing connects the valuation gap directly to the capital market implications: the Korea Discount translates into a structural financing disadvantage for Korean firms.

In summary, the literature establishes that the Korea Discount is large (Korean P/B ratios frequently run 30–50% below peer markets on an adjusted basis), persistent (three decades of data), and pervasive (present across firm sizes, industries, and business cycles). The question is not whether the discount exists, but why.

### 3. Causes of the Korea Discount

#### 3.1. Corporate Governance and the Chaebol Structure

The dominant popular explanation for the Korea Discount centers on corporate governance failures at chaebol conglomerates. [The Economist \(2012\)](#) offers a succinct articulation: if controlling shareholders can extract private benefits at the expense of minority investors—through “tunnelling” (awarding overpriced contracts to family-owned affiliates) and “propping” (subsidizing failing sister companies)—rational outside investors will discount expected future cash flows, depressing valuations. The geopolitical explanation—that proximity to North Korea depresses Korean valuations—is explicitly addressed and dismissed: the KOSPI quickly recovered after the December 2011 death of Kim Jong Il, and geopolitical controls do not eliminate the discount in cross-country regressions ([김현석, 2026](#)).

[Njoku et al. \(2026\)](#) examine one specific governance mechanism—dividend policy—in a setting that allows them to disentangle chaebol and non-chaebol firms. Using a panel of 558 KOSPI-listed non-financial firms over 2011–2019, they find that governance quality (measured by Korea Corporate Governance Service scores) is positively associated with dividends for non-chaebol firms across all governance dimensions. For chaebol-affiliated firms, however, this relationship is *selective*: only shareholder rights protection retains independent explana-

tory power, while board structure, audit committee quality, and disclosure transparency do not. This finding is important because it shows that concentrated ownership does not merely attenuate governance effects—it selectively nullifies some mechanisms while preserving others. The policy implication is that broad governance score improvements may be ineffective in chaebol firms unless they specifically target minority shareholder rights.

[Kang and Kim \(2026\)](#) test governance explanations using a natural experiment: they examine abnormal returns around two events—the June 2025 presidential election and the July 2025 passage of the Commercial Act amendment—for firms classified as high-BTM (Korea Discount risk group) versus others. Firms in the highest BTM tercile exhibit significantly positive abnormal returns at both event windows, with larger effects at the parliamentary passage date, suggesting the market interprets the governance reform as materially reducing the probability of minority shareholder expropriation. Importantly, no differential reaction is observed among firms with high controlling shareholder ownership, consistent with the view that the market does not expect governance reforms to bind equally across all ownership structures.

[박진재 \(2025\)](#) examines a related structural feature: the use of cross-shareholdings among chaebol affiliates as a mechanism for entrenching management control. Cross-shareholding structures enable controlling families to maintain voting control well in excess of their economic stakes, limiting the disciplinary force of capital markets. [박진재 \(2025\)](#) argues that the threat of affiliate-driven boardroom coups using voting restriction strategies could, paradoxically, incentivize holding company revaluation—a channel through which the Korea Discount might narrow even without direct governance legislation.

The governance hypothesis receives strong support overall, but several papers raise important nuances. [김현석 et al. \(2025\)](#) argue that measured shareholder rights scores do not, on average, rank Korea lower than comparable countries, questioning the premise that Korea has weaker de jure investor protections. [양철원 et al. \(2025\)](#) go further: in a direct horse-race

between governance, shareholder payout, and growth potential variables in explaining cross-sectional PBR variation among Korean firms, governance variables exhibit no statistically significant relationship with PBR. These findings suggest that the governance mechanism—if operative—works through subtle de facto channels (selective compliance, concentrated ownership, tunnelling) rather than through measurable governance score improvements, and that governance alone is unlikely to explain the full magnitude of the discount.

### 3.2. Growth Potential and Capital Allocation

A second strand of research attributes the Korea Discount primarily to weak corporate growth prospects and inefficient capital allocation rather than governance failures per se.

양철원 et al. (2025) provide the clearest empirical case. Using cross-sectional regressions of PBR on governance, payout, and growth variables, they find that growth-related variables dominate: firms with low R&D expenditure, higher tangible asset intensity (plants and land relative to intangible capital such as patents and brand value), and older firms beyond peak growth consistently display lower PBRs. The implication is that the Korean market’s low valuations primarily reflect investors’ rational assessment of weak future growth, not expropriation risk.

이정환 (2025) adopts a capital allocation lens. Modeling both short-run and long-run determinants of PBR changes, he finds that cash retention, R&D investment, general capital expenditure, and dividends all have positive long-run effects on PBR for the overall firm sample. However, for large manufacturing firms—the backbone of the Korean economy—dividend expansion has *weak or negative* effects, while R&D investment is the dominant value driver. This finding directly challenges policies focused on dividend increases as the primary lever for PBR improvement: for the firms that matter most to the KOSPI’s aggregate valuation, what creates value is investment quality, not payout generosity.



김현석 (2026) corroborate this view from a cross-country perspective. Among OECD countries that achieved significant long-run multiple expansion, the key factors were profitability improvement, appropriate liquidity management, and financial market development. By contrast, higher shareholder return ratios, short-term trading activity, and elevated geopolitical risk were negatively associated with valuation improvements. This evidence directly contradicts simple payout-based explanations of the Korea Discount and suggests that durable multiple expansion requires building profitability foundations over years or decades.

김현석 et al. (2025) offer additional evidence for a structural demand explanation rooted in investor behavior. Korean firms' trading turnover ranked 3rd among 58 countries in their sample, yet the degree to which corporate fundamentals—profitability and growth—were reflected in valuations ranked 51st. The predictive power of market-to-book ratios for future earnings was significantly weaker in Korea than in other markets, suggesting that high short-term trading activity crowds out long-horizon price discovery. In this view, the Korea Discount is partly endogenous to investor behavior: a short-term trading culture prevents long-run corporate fundamentals from being capitalized into equity prices, creating a self-reinforcing undervaluation trap.

### 3.3. Demand-Side Frictions: Investor Behavior and Information

A third cluster of explanations focuses on demand-side frictions—features of the investor base, information environment, or market microstructure that suppress Korean equity valuations independently of firm-level fundamentals.

Yun and Kim (2022) examine how investor sentiment affects audit quality in the Korean setting. They find that initial audit fees are significantly lower when investor sentiment is high, and that Big 4 and specialist auditors input fewer audit hours during high-sentiment periods. While this paper is not directly about the Korea Discount, it illuminates a broader principle: when sentiment drives trading activity, the market's ability to discipline managers and detect opportunistic behavior weakens, which should rationally lead to lower valuations

once sentiment reverts. A market prone to sentiment-driven overconfidence may price-in discount premiums to offset expected future audit-quality failures.

주병철 (2026) examine foreign investors as a disciplining mechanism. Standard OLS regressions suggest that foreign ownership is positively correlated with growth disparity (the gap between sustainable and actual growth rates), but this reflects selection: foreign investors prefer growth-oriented firms. After addressing endogeneity through propensity score matching, foreign ownership *reduces* growth disparity significantly, correcting over-investment in over-growing firms and encouraging profitable management in under-growing ones. Foreign investors thus function as smart monitors rather than short-term speculators. The corollary is that policies discouraging or restricting foreign investment—or a market environment perceived as hostile to foreign capital— would deprive Korean firms of an important governance mechanism, exacerbating the discount.

The equity premium evidence in Choi et al. (2012) is also relevant here. A higher cost of equity for Korean firms can reflect not only governance or growth concerns, but also liquidity premia, information asymmetry premiums, and limited investor base. Market development—breadth of the institutional investor base, disclosure quality, analyst coverage—affects the equilibrium price level independent of firm fundamentals.

## 4. Policy Responses

The persistence of the Korea Discount has motivated a succession of policy responses, each informed by a particular causal diagnosis.

### 4.1. The Corporate Value-Up Program (2024)

In February 2024, Korea’s Financial Services Commission launched the Corporate Value-Up Program, modeled closely on the Tokyo Stock Exchange’s 2023 initiative requiring firms trading below book value to disclose improvement plans. 이진호 (2025) provides a compre-

hensive legal and policy assessment. She notes that, unlike Japan’s experience—where the disclosure requirement triggered substantial corporate action and a multi-year bull market—the initial Korean program was largely ignored: most KOSPI and KOSDAQ firms opted out, and the index closed weaker at year-end 2024.

Several structural differences likely explain the divergent outcomes. Japan’s program was accompanied by sustained shareholder activism, a favorable macroeconomic environment, and cross-shareholding unwind incentives from the Bank of Japan’s equity holdings. Korea’s program, by contrast, was voluntary with no enforcement mechanism, and was introduced into a period of domestic political uncertainty. [이정환 \(2025\)](#) further cautions that dividend-centric interpretations of the value-up program may be counterproductive for large manufacturers, where R&D investment rather than payout expansion drives PBR improvement.

#### 4.2. Commercial Act Amendment (2025)

The July 2025 amendment to Korea’s Commercial Act addressed several long-standing governance weaknesses: expanded fiduciary duties to include minority shareholders, tightened related-party transaction approvals, and enhanced board independence requirements. [Kang and Kim \(2026\)](#) find that high-BTM firms earned significantly positive abnormal returns around both the election event (which signaled reform probability) and the legislative passage date, with larger market reactions at the formal enactment. This event-study evidence is the most direct empirical test that governance reform matters for the Korea Discount, and the results are encouraging.

However, [Kang and Kim \(2026\)](#) also find that firms with high controlling shareholder ownership did not exhibit differential market reactions, suggesting the market discounts the amendment’s ability to constrain controlling families. This is consistent with [Njoku et al. \(2026\)](#)’s finding that governance improvements in chaebol firms flow primarily through shareholder rights channels, not through structural board reforms.

### 4.3. Implications of the Causal Evidence for Policy

The empirical literature provides a nuanced guide for policy design. If the Korea Discount primarily reflects weak growth potential—as 양철원 et al. (2025) and 김현석 (2026) argue—then governance and payout reforms will have limited effects. The growth diagnosis calls for industrial and innovation policy: measures that increase R&D intensity, facilitate entry and exit, reduce zombie firm prevalence (identified as a persistent drag by 이진호 2025), and develop the long-term institutional investor base that can fund growth-oriented businesses.

If short-termism among domestic investors is a root cause—as 김현석 et al. (2025) suggest—then market microstructure reforms (transaction taxes, holding period incentives, institutional investor development) may be more effective than corporate disclosure mandates. The finding of 주병철 (2026) that foreign investors correct growth disparity points toward policies that lower barriers to foreign portfolio investment and improve English-language disclosure.

If governance remains an independent cause despite skepticism from 양철원 et al. (2025), the evidence from Njoku et al. (2026) and Kang and Kim (2026) suggests reforms should focus specifically on minority shareholder rights rather than broad governance score metrics. In particular, related-party transaction controls and cumulative voting rights—tools that reduce tunnelling and propping—may be more effective than board composition requirements, which chaebol firms can satisfy formally without substantive effect.

## 5. Synthesis and Research Gaps

The literature reviewed here converges on several important conclusions. First, the Korea Discount is a structural, multi-decade phenomenon that cannot be attributed to any single factor. Its persistence across business cycles and its robustness to standard controls for risk and fundamentals imply that it reflects deep institutional and behavioral features of the Korean economy.

Second, governance and growth explanations are complementary rather than mutually exclusive. Chaebol governance failures reduce the share of firm value that accrues to minority shareholders, while weak growth prospects reduce total value. The relative magnitude of each contribution likely varies across firm groups: governance effects appear stronger among non-chaebol firms and firms with diffuse ownership (consistent with [Njoku et al. 2026](#) and [Kang and Kim 2026](#)), while growth and investment effects dominate for large manufacturing conglomerates (consistent with [양철원 et al. 2025](#) and [이정환 2025](#)).

Third, demand-side frictions amplify supply-side weaknesses. Short-termism among domestic investors prevents long-run corporate value from being incorporated in prices, creating an environment in which even well-governed, high-growth firms may be undervalued. Foreign investor activism partially mitigates this (per [주병철 2026](#)), but only for firms foreign capital finds accessible.

Fourth, recent policy interventions show early promise but face structural headwinds. The Commercial Act amendment produced measurably positive market reactions for high-BTM firms ([Kang and Kim, 2026](#)), but governance reform is unlikely to be sufficient on its own. The value-up program’s initial underperformance relative to Japan’s experience suggests that voluntary disclosure requirements without enforcement mechanisms are insufficient in a concentrated ownership environment.

Several important gaps remain. The literature lacks rigorous causal identification of the long-run effect of specific governance reforms on Korean equity valuations; most evidence is event-study based or cross-sectional. The interaction between macroeconomic policy uncertainty—identified by [김현석 et al. \(2025\)](#) as an understudied driver—and the Korea Discount merits further structural modeling. The literature on foreign investor discipline ([주병철, 2026](#)) relies on KOSPI and KOSDAQ data through 2024 and does not yet capture the 2025 post-reform period. Finally, comparisons with Japan’s value-up experience remain preliminary; a systematic comparative study exploiting the near-simultaneous policy adoptions in both

markets would substantially advance the literature.

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